

Insight 1 — Saudi unemployment nearly halved in 7 years Saudi unemployment dropped from **12.3% in 2017 to 7.8% in 2024** — a reduction of 4.5 percentage points representing a 37% improvement. This is one of the most significant labor market transformations in the region during this period.

So what? Vision 2030's economic diversification and job creation programs are producing measurable results. Any company operating in Saudi Arabia is benefiting from a more stable and growing workforce.

Insight 2 — COVID caused a sharp but temporary spike Looking at the trend line, Q2 2020 shows a clear spike in female unemployment jumping significantly before recovering by 2021. Male unemployment also rose but recovered faster than female unemployment.

So what? The Saudi labor market showed strong resilience — recovering from COVID faster than most comparable economies. Female workers were more vulnerable during the crisis but recovered strongly afterward.

Insight 3 — Female participation surpassed Vision 2030 target ahead of schedule Female workforce participation grew from **17.4% in 2017 to 36.2% in 2024** — more than doubling in 7 years. The Vision 2030 target of 30% was crossed in **2021, four years ahead of the 2030 deadline.**

So what? This is arguably Saudi Arabia's most impressive Vision 2030 achievement. The labor market transformation for women has been faster than anyone predicted when the target was set in 2016.

Insight 4 — Construction and Agriculture are failing at Saudization Your Saudization bar chart clearly shows Construction and Agriculture at the bottom with Saudi workforce percentages close to zero — meaning these sectors are almost entirely dependent on expatriate workers.

So what? These two sectors represent the biggest Saudization challenge remaining. Companies in these sectors face significant Nitaqat compliance risk and will need to invest heavily in attracting Saudi nationals.

Insight 5 — Regional inequality remains a serious problem Al-Baha, Najran, and Jazan have unemployment rates above **10%** — more than double the rate in major urban regions like Riyadh and the Eastern Region which sit around 5-6%.

So *what*? Economic opportunity in Saudi Arabia is still heavily concentrated in three major urban centers. Developing regions are being left behind by the Vision 2030 growth story — this represents both a social challenge and a business opportunity for companies willing to operate outside the main cities.

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